

TEST CODE **01240010**

FORM TP 2017104

MAY/JUNE 2017

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 01 – General Proficiency

1 hour 15 minutes

19 MAY 2017 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This test consists of 60 items. You will have 1 hour and 15 minutes to answer them.
2. In addition to this test booklet, you should have an answer sheet.
3. Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.
4. On your answer sheet, find the number which corresponds to your item and shade the space having the same letter as the answer you have chosen. Look at the sample item below.

Sample Item

The money that a business receives from the sale of goods or services is called its

- (A) assets
- (B) capital
- (C) income
- (D) resources

Sample Answer



The best answer to this item is “income”, so (C) has been shaded.

5. If you want to change your answer, erase it completely before you fill in your new choice.
6. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, go on to the next one. You may return to that item later.

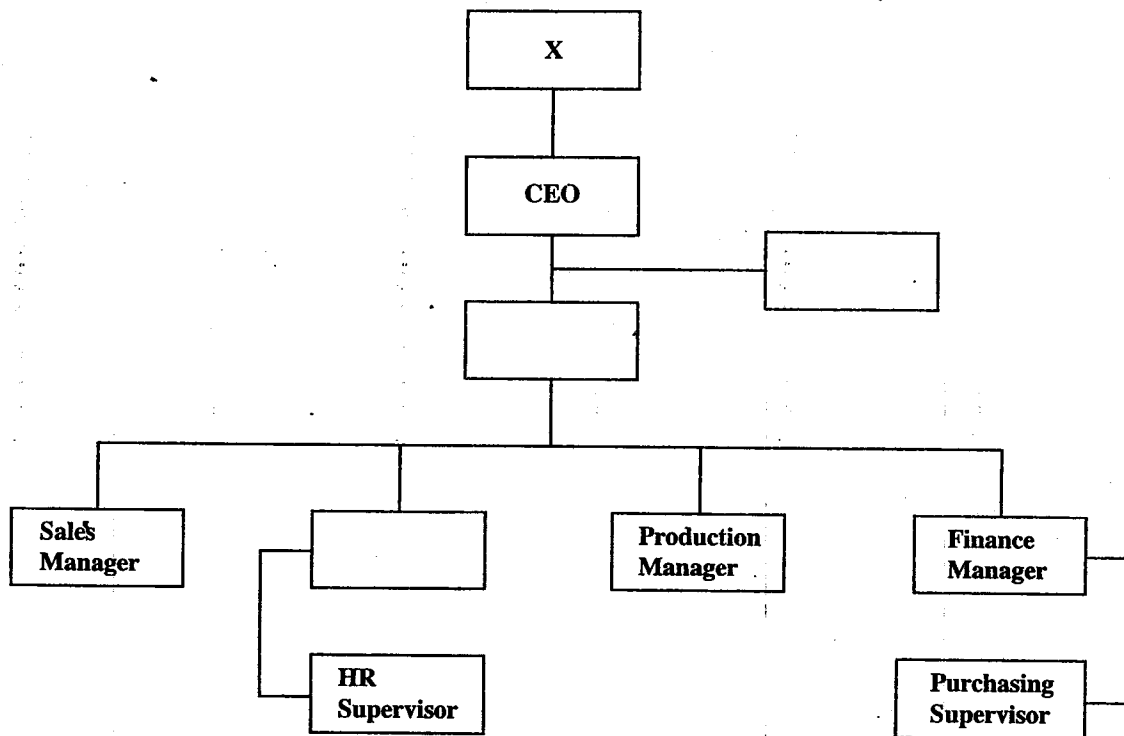
DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

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1. Which of the following types of business environment is MOST typical of the Commonwealth Caribbean?
 - (A) Corporate state
 - (B) Mixed economy
 - (C) Centrally planned
 - (D) Perfectly competitive
2. Labour is BEST defined as the
 - (A) physical and mental capabilities used to perform tasks
 - (B) ability to carry out management functions effectively
 - (C) level of skills training received by individuals who are working
 - (D) total number of persons who hold jobs in government ministries
3. A MAJOR function of the public sector is to
 - (A) make a profit
 - (B) serve the entire population
 - (C) serve the interest of the shareholder
 - (D) inspire competition among businesses
4. The term 'division of labour' can be defined as the
 - (A) organization of tasks in production
 - (B) assembling of goods for distribution
 - (C) separation of tasks to complete a job
 - (D) employment of different types of workers
5. Private enterprise is run MAINLY to
 - (A) create profits
 - (B) reduce inflation
 - (C) distribute goods and services
 - (D) provide jobs for more people

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Items 6–7 refer to the following diagram relating to the structure of an organization.



6. The purchasing supervisor reports directly to the

- (A) CEO
- (B) HR supervisor
- (C) finance manager
- (D) production manager

7. Which of the following positions would be BEST suited at 'X'?

- (A) Chief Advisor
- (B) Board of Directors
- (C) Managing Director
- (D) Human Resource Manager

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Item 8 refers to the following information.

Mr Lloyd, manager of LM Ltd, holds regular staff meetings to listen to ideas from employees before making decisions that would affect the future of the company.

8. What leadership style does Mr Lloyd employ?
- (A) Autocratic
 - (B) Charismatic
 - (C) Democratic
 - (D) Laissez faire
9. Management information system (MIS) is defined as the
- (A) use of computer technology to gather information for use in making decisions within an organization
 - (B) technological benefits gained by an organization for being part of a well organized industry
 - (C) use of various factors within a business to reduce costs and increase profits
 - (D) management process responsible for identifying, anticipating and satisfying consumer requirements at a profit
10. Which of the following organizations is LEAST likely to use a management information system?
- (A) The national bank
 - (B) A shoeshine shop
 - (C) A department store
 - (D) A beauty supplies outlet
11. Under which of the following categories would subsidized meals for employees fall?
- (A) Fringe benefits
 - (B) Duty allowance
 - (C) Wages and salaries
 - (D) Workmen's compensation
12. Which of the following is NOT an example of collateral?
- (A) Bond
 - (B) Stock
 - (C) Property
 - (D) Money order
13. Which of the following individuals benefit from having 'limited liability status'?
- (A) Franchisees
 - (B) Shareholders
 - (C) Ordinary partners
 - (D) Debenture holders
14. The condensed version of the business plan is contained in the
- (A) feasibility plan
 - (B) marketing plan
 - (C) keynote summary
 - (D) executive summary
15. JB Auto Company decided to export car engines from Barbados to Trinidad. Which of the following methods is BEST for transporting the engines?
- (A) Air
 - (B) Sea
 - (C) Rail
 - (D) Road

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16. Cash used to secure a loan at the bank is referred to as
- (A) collateral
 - (B) fixed assets
 - (C) current assets
 - (D) fixed deposits
17. A 'purchase order' is a
- (A) request for additional goods
 - (B) notification of goods received
 - (C) statement of outstanding debts
 - (D) document offering to buy goods
18. A contract may be discharged by
- (A) breach
 - (B) change of mind
 - (C) inconsideration
 - (D) misappropriation
19. Kiki sustained burns while at work at a local fast food restaurant. Under which of the following insurance policies is she MOST likely to be compensated?
- (A) Public liability
 - (B) Fidelity guarantee
 - (C) Property guarantee
 - (D) Employers' liability
20. The monthly payments made to an insurance company by its policy holders are known as
- (A) deposits
 - (B) premiums
 - (C) instalments
 - (D) endowments
21. The term 'human resources' refers to
- (A) materials and goods made by human beings
 - (B) capital invested by shareholders in a company
 - (C) raw materials used in the manufacture of goods
 - (D) persons available for productive and professional services
22. Which of the following types of capital is used for the day-to-day operations of a business?
- (A) Fixed
 - (B) Floating
 - (C) Working
 - (D) Nominal
23. To which of the following industries does a firm involved in food processing belong?
- (A) Service
 - (B) Extractive
 - (C) Constructive
 - (D) Manufacturing
24. What impact would the introduction of mechanization in the production process have on a society?
- (A) Reduction in jobs for unskilled workers
 - (B) Increased brain drain in the economy
 - (C) Reduction in the pollution of the country's cities
 - (D) Provision of more jobs for unskilled workers

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25. Which of the following conditions would constitute a linkage between two industries?
- (A) Two firms manufacture similar goods.
 - (B) One firm shares the use of machinery with another firm.
 - (C) Two firms are responsible for the manufacture of different kinds of goods.
 - (D) The output of one industry of the economy becomes the input of another industry.
26. Which of the following businesses may BEST be classified as a cottage industry?
- (A) JMN Superstore, located in the rural area
 - (B) People's Cooperative Bank, located in Trinidad
 - (C) Mary's Craft Supplies, located at home
 - (D) Peter and John's Company, located in Jamaica
27. In the Caribbean, many people are hired for sugar cane farming and very little equipment is used. This industry can BEST be described as
- (A) labour intensive
 - (B) capital intensive
 - (C) having low capital input
 - (D) having high capital input
28. Which of the following terms describes a market consisting of a large number of producers and consumers?
- (A) Oligopoly
 - (B) Monopoly
 - (C) Perfect market
 - (D) Imperfect market
29. The term 'loss leader' is BEST described as a product which
- (A) has no real market value
 - (B) the retailer is unable to locate
 - (C) the retailer gives away to customers
 - (D) is sold cheaply to attract customers
30. Market equilibrium exists when
- (A) buyers pay reasonable prices for goods
 - (B) sellers are satisfied with the prices paid for their goods
 - (C) at current prices, the amount buyers wish to buy equals the amount sellers want to sell
 - (D) at the ruling market price, buyers do not want to add to the stock of goods they already have
31. A situation whereby a business gains editorial space without having to pay for it is called
- (A) publicity
 - (B) marketing
 - (C) advertising
 - (D) discounting
32. In a Caribbean territory, there is only one supplier that provides electricity to all homes, businesses and communities. What market structure does this BEST illustrate?
- (A) Duopoly
 - (B) Oligopoly
 - (C) Monopoly
 - (D) Perfect competition

33. Which of the following gives identity to a specific producer's goods?
- (A) Label
 - (B) Patent
 - (C) Brand
 - (D) Copyright
34. Which of the following operations is an example of sales promotion?
- (A) Warehousing
 - (B) Free sampling
 - (C) Servicing goods
 - (D) Gathering information
35. Mr Jones has several bills of fixed amounts to pay each month. Mr Jones made an arrangement with his bank to make these monthly payments from his account. This service, provided by the bank, is referred to as
- (A) an overdraft
 - (B) a fixed deposit
 - (C) a standing order
 - (D) a letter of credit
36. Tom invests his savings by buying shares in a company. From this investment, Tom expects to receive
- (A) profits
 - (B) interest
 - (C) revenue
 - (D) dividends
37. Investment can be defined as
- (A) the stock of goods in a country
 - (B) the amount of money available at a given time
 - (C) additions to the capital stock of a country
 - (D) the amount of capital owned by the government
38. Which of the following services is provided by commercial banks?
- (A) Printing money
 - (B) Selling stocks and bonds
 - (C) Controlling the supply of money
 - (D) Accepting deposits from customers
39. One of the MAJOR functions of a Central Bank is to
- (A) issue notes and coins
 - (B) issue stocks and shares
 - (C) accept deposit accounts
 - (D) make loans and advances
40. A stock market is identified with
- (A) costs and prices
 - (B) risks and benefits
 - (C) rent and investment
 - (D) premium and reward
41. Governments can influence business activity positively by reducing
- (A) taxes
 - (B) grants
 - (C) subsidies
 - (D) expenditure
42. A 'price control' may be defined as a
- (A) tax on goods and services
 - (B) government ban on imports
 - (C) grant given to producers to reduce their prices
 - (D) government limit on the price of goods or services

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43. The success of a government's economic policies can be MOST effectively measured by
- (A) an increase in the level of policies
 - (B) an increase in the standard of living
 - (C) a decrease in the level of employment
 - (D) a decrease in the volume of production
44. Which of the following forms of taxation can be classified as 'direct'?
- (A) Income tax
 - (B) Excise duty
 - (C) Purchase tax
 - (D) Customs duty
45. Which of the following is a function of a Chamber of Commerce?
- (A) Creating employment
 - (B) Protecting the environment
 - (C) Assisting in securing markets for producers
 - (D) Providing financial aid to hurricane victims
46. Which of the following statements BEST explains a 'proportional tax'?
- (A) The rate of tax increases as income increases.
 - (B) The same rate of tax is paid at all income levels.
 - (C) High income earners pay a smaller percentage of income in tax than low income earners.
 - (D) High income earners pay a larger percentage of income in tax than low income earners.
47. Which of the following measures are used by governments to redistribute income?
- (A) Custom duties and levies
 - (B) Consumption tax and tariffs
 - (C) PAYE and National Insurance
 - (D) Excise duties and value added tax
48. A country has a favourable balance of trade when
- (A) it sells more than it buys
 - (B) it buys more than it sells
 - (C) imported goods are cheaper
 - (D) there are no restrictions to trade
49. Which of the following practices would NOT contribute to the economic development and growth of a country?
- (A) Provision of loans and technical assistance for establishing local businesses
 - (B) Provision of more infrastructure within the country
 - (C) Increased use of the country's natural resources
 - (D) Increased importation of consumer goods
50. Education contributes to a country's economic growth by ensuring that the workforce is highly
- (A) mobile
 - (B) efficient
 - (C) classified
 - (D) structured

51. Which of the following types of restrictions limits the quantity of goods that citizens of a country are allowed to buy from overseas?
- (A) Import duty
 - (B) Export duty
 - (C) Export quota
 - (D) Import quota
52. Export licences are issued MAINLY to
- (A) encourage local businesses to produce more goods for export
 - (B) indicate to the importing country the price at which the goods are to be sold
 - (C) indicate to the importing country that the goods are of a high standard
 - (D) enable the government to control the flow of goods being exported
53. The buying and selling of goods and services among countries is called
- (A) balance of trade
 - (B) international trade
 - (C) balance of payment
 - (D) international marketing
54. Which of the following is NOT a benefit of international trade?
- (A) Producers are able to increase their market size.
 - (B) Political links are developed with other countries.
 - (C) Import restrictions can be imposed on foreign items.
 - (D) A greater variety of goods is obtained from overseas.
55. The term 'economic dualism' defines an economy in which one sector is
- (A) highly dependent on local capital
 - (B) highly dependent on foreign capital
 - (C) overpopulated while the other is underpopulated
 - (D) technologically advanced while the other is technologically retarded
56. The purpose of CARICOM is to
- (A) allow member states to collaborate
 - (B) encourage the transfer of technology within the region
 - (C) foster interregional trade and common services
 - (D) allow for the unrestricted movement of persons among the territories
57. Which of the following terms defines a continuous rise in the general level of prices?
- (A) Inflation
 - (B) Reflation
 - (C) Deflation
 - (D) Depression
58. In periods of inflation, the ability to raise additional capital for expansion is MOST likely to be a problem for
- (A) partnerships
 - (B) sole traders
 - (C) public companies
 - (D) multinational corporations

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59. Which of the following is NOT a benefit of industrialization?

- (A) A reduction in the level of imports
- (B) An increase in the level of exports
- (C) An increase in the unemployment rate
- (D) A decrease in the unemployment rate

60. Which of the following organizations would settle a dispute among banana-producing countries of the Caribbean and Central America over preferential agreement with the European Union?

- (A) World Trade Organization (WTO)
- (B) Caribbean Development Bank (CDB)
- (C) CARICOM Single Market and Economy (CSME)
- (D) Organization of Petroleum Exporting Countries (OPEC)

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.